البنك المركزي السعودي
SAMA
Saudi Central Bank

Implementing Regulation of the Finance Companies Control Law

1447AH Rajab/ December 2025AD

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Chapter 1: Definitions and General Provisions

Article 1

For the purpose of applying the provisions of this Regulation, the following terms and phrases, wherever mentioned in this Regulation, shall have the meanings assigned thereto in the Law, unless the context requires otherwise:

Law: Finance Companies Control Law.

Finance Laws: Real Estate Finance Law, Finance Lease Law, and Finance Companies Control Law.

SAMA: Saudi Central Bank.

Consumer Microfinance Company: A company licensed to engage in consumer microfinance activity only, to the exclusion of any other finance activity.

BNPL Company: A company licensed to engage in BNPL activity only, to the exclusion of any other finance activity.

Debt-Based Crowdfunding Company: A company licensed to engage in debt-based crowdfunding activity only, to the exclusion of any other finance activity.

Microfinance Company: A company licensed to engage in microfinance activity only, to the exclusion of any other finance activity.

Consumer Microfinance Activity: Extending credit for consumer purposes in accordance with the controls stipulated in Article 9 of this Regulation.

BNPL Activity: Financing the borrower for the purchase of goods or services from stores with no term cost payable by the borrower.

Debt-Based Crowdfunding Activity: Collecting funds from participants through a debt-based crowdfunding platform to extend credit under contracts to beneficiary establishments.

Microfinance Activity: Extending credit in accordance with the controls stipulated in Article 9 of this Regulation.

Finance Activity/Activities: One or more types of finance activities stated in Article 10 of the Law or any other finance activities approved by SAMA pursuant to the same Article.

Finance Contract: A contract under which the finance company extends credit for activities stipulated in the Law and this Regulation.

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Installment: the total amount payable by the borrower distributed over the term of the finance contract, excluding non-recurring expenditures, expenses, and costs such as charges, commissions, and administrative fees.

Term Cost: the term cost paid by the borrower under the finance contract, which may be reflected by a fixed or variable annual percentage of the amount of finance obtained by the borrower.

Total Finance Cost: Costs to be paid by the borrower under a finance contract other than the finance amount in accordance with provisions of the finance contract. Such costs include term cost, charges, commissions, administrative fees, insurance, and any expenses required to obtain finance, excluding any expenses the borrower can avoid, such as costs or fees payable by the borrower due to his breach of any of his obligations stipulated in the finance contract.

Finance Amount: the maximum or total amounts available to the borrower under a finance contract.

Total Amount Payable by the Borrower: The finance amount in addition to the total finance cost.

Annual Percentage Rate (APR): The discount rate calculated in accordance with the provisions of Article 85 of this Regulation.

Board of Directors: Board of directors of the finance company.

Senior Management: The managing director, chief executive officer, general manager, and their deputies as well as the chief financial officer and heads of major departments, in addition to risk management, internal audit, and compliance officers in the finance company.

Exposure: The value of an asset that is subject to any credit risk, such as default or credit rating downgrade.

Large Exposure: The exposure to a single borrower to five percent or more of the paid-up capital and reserves of the finance company.

Qualifying Percentage: Five percent or more of the shares or interests of the finance company or the voting rights therein, whether held, directly or indirectly, by one or several persons acting in agreement.

Article 2

SAMA shall be in charge of the finance sector and supervise the activities of finance companies in accordance with the Law and this Regulation, including the following:

1. Extend license to engage in one or more finance activities in accordance with the provisions of finance laws and their regulations.
2. Taking necessary measurements for maintaining the integrity and stability of the finance sector and fairness of its transactions.
3. Take necessary measurements promoting fair and effective competition between finance companies.

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4. Issue required rules and instructions to regulate the finance sector.
5. Take proper means for the development of the finance sector, Saudization, and raising the employees' competency through regulating the obligations of the finance companies regarding the training of human resources, improving their skills, and developing their knowledge.

Article 3

Any corporate person engaging in one or more of the finance activities stipulated in Article 10 of the Law, or any other finance activity approved by SAMA in accordance with said Article, shall be subject to the provisions of this Regulation.

Chapter 2: Licensing of Finance Companies

Article 4

No person may engage in any finance activity without obtaining a license from SAMA in accordance with the Law and this Regulation or other applicable laws.

Article 5

Where a natural or corporate person finances his establishment's goods or services provided to his customers, such financing shall be subject to the controls and instructions issued by SAMA.

Article 6

A finance company shall not engage in any activity for which it is not licensed under finance laws and their regulations.

Article 7

Founding shareholders of a finance company, or their representatives, shall apply to SAMA for a license. The application shall specify the finance activities for which the license is requested, and shall include the following:

1. A completed SAMA-approved application form.
2. Draft articles of incorporation or articles of association of the finance company, as the case may be.
3. Description of the organizational structure of the finance company showing all primary departments and positions and main functions thereof.
4. A list of the names of the founding shareholders specifying the number and percentage of shares or interests for each.
5. Fit and proper form for founding shareholders signed by each founding shareholder.
6. Fit and proper form for the company's board members, managers, members of the board of managers, or the like, as the case may be, signed by each nominee.

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7. Feasibility study identifying the target market, services to be provided, business model, and strategy of finance company in addition to a five-year business plan that includes at least the following:

a) Finance activities, for which a license is requested, as well as products and a marketing plan.
b) Credit extending policies and procedures.
c) Estimated financial statements, projected annual revenue and expenses, financial margins and targeted growth rates, taking into account SAMA requirements of capital adequacy and liquidity.
d) Projected start-up costs and required finance.
e) Projected ongoing finance of operations.
f) Branches to be established by the finance company.
g) Plan and programs for monitoring and managing risks and compliance.
h) Recruitment and training plan, including the projected number of employees and percentage of Saudi nationals at each department and administrative level, and employee training and qualification programs.

8. An irrevocable bank guarantee issued to SAMA by a local bank or a branch of a foreign bank for an amount equivalent to 20 percent of the minimum capital for the finance activity or activities for which a license to engage therein is requested, in accordance with the form set by SAMA. Such guarantee shall be automatically renewed until the required capital is paid in full and shall be released upon the request of the founding shareholders in the following cases.

a) Payment of the capital.
b) Withdrawal of the license application.
c) Rejection of the license application by SAMA.
d) The company obtaining initial approval from SAMA.

9. Drafts of proposed agreements and contracts with third parties, particularly agreements and contracts with related parties and external service providers.
10. Any other documents or information requested by SAMA.

Article 8

1. Subject to the provisions of the Companies Law, the minimum paid-up capital of a finance company shall be as follows:

a) Two hundred million riyals (SAR 200,000,000) for a finance company engaging in real estate finance.
b) One hundred million riyals (SAR 100,000,000) for a finance company engaging in one or more finance activities other than real estate finance.
c) Fifty million riyals (SAR 50,000,000) for a finance company engaging in small and medium enterprises finance activity only, to the exclusion of any other finance activity.
d) Twenty million riyals (SAR 20,000,000) for a finance company engaging in consumer microfinance activity only, to the exclusion of any other finance activity.
e) Ten million riyals (SAR 10,000,000) for a finance company engaging in consumer microfinance activity using financial technology only, to the exclusion of any other finance activity.

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f) Ten million riyals (SAR 10,000,000) for a finance company engaging in microfinance activity only, to the exclusion of any other finance activity.
g) Five million riyals (SAR 5,000,000) for a finance company engaging in debt-based crowdfunding activity only, to the exclusion of any other finance activity.
h) Five million riyals (SAR 5,000,000) for a finance company engaging in BNPL activity only, to the exclusion of any other finance activity.

2. If a company engages in more than one of the finance activities provided for in paragraphs (c, d, e, f, g and h), the company shall satisfy the minimum capital for the activity with the highest value.
3. SAMA may stipulate higher or lower minimum capital based on market conditions, or if it is deemed by SAMA that the proposed business model of the finance company, nature, and geographical scope of its activities so require, taking into consideration risks associated with such activities. The capital must be paid in full upon the incorporation of the finance company.

Article 9

1. A consumer microfinance company shall conduct its activity in accordance with the following controls:

a) The purpose of finance shall be to purchase goods and services for the purpose of consumption, including, but not limited to, the purchase of furniture, consumer goods, or household items or education finance and the like.
b) The purpose of finance shall not be related to the borrower's commercial or professional activities.
c) Consumer microfinance activity shall not include financing the purchase of vehicles.
d) The aggregate amount of finance granted to a borrower by a consumer microfinance company shall not exceed sixty thousand riyals (SAR 60,000).
e) Notwithstanding the provision of paragraph (d) of this Article, the aggregate amount of finance granted to a borrower by a consumer microfinance company that conducts its activity through financial technology only shall not exceed thirty thousand riyals (SAR 30,000).
f) SAMA may adjust the amounts of finance granted to a consumer microfinance borrower based on market conditions or the geographical scope of the consumer microfinance company.

2. A microfinance company shall conduct its activity in accordance with the following controls:
   a) Finance shall be limited to the productive activities and assets of borrowers, including small business owners, craftsmen, and the like, whether natural persons or micro-enterprises.
   b) The amount of finance granted to a microfinance borrower shall not exceed two hundred thousand riyals (SAR 200,000). SAMA may, upon the request of the microfinance company and in line with market conditions or the geographical scope of the microfinance company, raise such amount.

Article 10

A finance company licensed to engage in debt-based crowdfunding activity or BNPL activity shall comply with the requirements, controls, and rules issued by SAMA for such activities.

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Article 11

1. Each founding shareholder shall satisfy Sharia and legal competency requirements, as well as the fit and proper requirements stipulated by SAMA, particularly the following:

a) Have not violated any of the provisions of the Banking Control Law, Capital Market Law, Cooperative Insurance Companies Control Law, finance laws, or their regulations.

b) Have not been subject to a final judgment for the initiation of any bankruptcy procedure under the Bankruptcy Law.

c) Have not been convicted of a crime impinging on integrity, unless rehabilitated and that 10 years have elapsed since the execution of the sentence imposed for such crime, provided a no-objection letter from SAMA is obtained.

d) Have not requested to withdraw the license application to engage in a finance activity within the preceding two years.

e) Have not been denied the license to engage in a finance activity by SAMA within the preceding five years.

f) Have sufficient financial solvency and have not breached or shown any indication that he may breach any financial obligation towards his creditors.

2. If a founding shareholder or an owner of a qualifying percentage fails to meet Sharia or legal competency, or fit and proper requirements stipulated by SAMA, SAMA may at any time bar them from voting on decisions of the finance company or require them to obtain a no-objection letter before exercising such right in order to maintain the integrity of the performance of the finance company, apply the principles of governance, and protect the interests of stakeholders of the finance company.
3. A no-objection letter from SAMA shall be obtained prior to the acquisition of a qualifying percentage in a finance company.
4. If a founding shareholder or any person intending to acquire shares or interests in the finance company is an entity, the provisions of this Article shall apply to any person who owns five percent or more of the capital or voting rights in such entity.

Article 12

Each board member, manager, member of the board of managers, or the like, as the case may be, shall satisfy the professional competency requirements as well as the fit and proper requirements stipulated by SAMA, particularly the following:

1. Have not violated any of the provisions of the Capital Market Law and its regulations, or been convicted of violating the Banking Control Law, Cooperative Insurance Companies Control Law, finance laws, or their regulations.
2. Have not been convicted of a crime impinging on integrity, unless rehabilitated and that 10 years have elapsed since the execution of the sentence imposed for such crime.

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3. Have sufficient financial solvency and have no existing breach of any financial obligation towards his creditors.

Article 13

Any nominee for a senior management position must satisfy the requirements of professional competency as well as fit and proper requirements stipulated by SAMA, particularly the following:

1. Be a resident in the Kingdom during the term of office.
2. Have academic and professional qualifications and adequate experience in the field for not less than five years. SAMA has the right to assess whether the nominee has satisfied such period of experience.
3. Notwithstanding the provisions of paragraph 2 of this Article, the adequate period of experience for consumer microfinance, microfinance, BNPL, and debt-based crowdfunding companies shall be two years. SAMA has the right to assess whether the nominee has satisfied such period of experience.
4. Have not been terminated or removed from a job for disciplinary reasons within the preceding three years. SAMA has the discretion to approve such nominee based on the available information.
5. Have not violated any of the provisions of the Capital Market Law and its regulations, or been convicted of violating the Banking Control Law, Cooperative Insurance Companies Control Law, finance laws, or their regulations.
6. Have not been subject to a final judgment for the initiation of any bankruptcy procedure under the Bankruptcy Law.
7. Have not been convicted of a crime impinging on integrity, unless rehabilitated and that 10 years have elapsed since the execution of the sentence imposed for such crime, provided he obtains a no-objection letter from SAMA.
8. Have sufficient financial solvency and have no existing breach of any financial obligation towards his creditors.

Article 14

1. The license application must satisfy the requirements stipulated in the Law and this Regulation. The founding shareholders of a finance company must provide SAMA with any additional information or documents that it requires within 30 working days from the date of request.
2. SAMA may reject the license application in case of noncompliance with the period specified in paragraph 1 of this Article.
3. Upon satisfaction of all requirements stipulated in the Law and this Regulation, SAMA shall notify the applicant in writing of completion of his application.
4. SAMA shall notify the applicant in writing of its initial approval or reasoned rejection within 60 working days from the date of notifying the applicant of completion of his application. The initial approval shall not constitute a license or approval to engage in finance activity.

Article 15

1. Founding shareholders shall complete the incorporation of the finance company within six months from the date of SAMA's initial approval, and provide SAMA with a copy of the finance company's commercial register and articles of association or articles of incorporation, as the case may be, including the activities specified in SAMA's initial approval. SAMA's initial approval shall expire upon the lapse of six months from the date of such approval. Such period may be extended for a maximum additional period of six months upon obtaining a no-objection letter from SAMA prior to its expiry.
2. Founding shareholders shall complete the readiness of the finance company within 12 months from the date of issuance or amendment of the commercial register. Upon the expiration of such period, SAMA may close or reject the license application.

Article 16

1. SAMA shall issue a decision granting a license to a company upon completion of its incorporation and submission by the applicants of proof of full payment of the capital and any initial additional funding set out in the work plan, and taking all necessary measures to commence finance activities for which the license is sought, such as necessary human resources, systems, and equipment.
2. SAMA may take the necessary measures to verify the company's satisfaction of the requirements referred to in paragraph 1 of this Article and its compliance with relevant laws, regulations, rules, and instructions. Such measures may include conducting a licensing, supervisory, or inspection visit to the company's premises; meeting with its officials; and reviewing its systems, procedures, and records. The company shall address the observations identified during the visits and comply with the recommendations and instructions directed by SAMA.

Article 17

SAMA shall specify in the license the finance activity or activities subject of the license. SAMA may restrict the license to a certain geographic area or certain borrowers or impose other conditions.

Article 18

The license shall be granted for a term of five years, and may be renewed by SAMA based on a request by the finance company in accordance with the requirements of this Regulation. The renewal application must be submitted to SAMA at least six months prior to the expiry of the license term, using the form stipulated by SAMA and attaching the following:

1. An updated strategy and five-year business plan that includes at least the following:

a) A marketing plan taking into account existing and future products.

b) Credit extending policies and procedures.

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c) Estimated financial statements, projected annual revenues and expenses, financial margins and targeted growth rates, compared to performance of the finance company over the preceding five years, taking into account any modifications to the company's strategy and business plan.

d) Estimated liquidity and capital adequacy ratios compared with the preceding five years, taking into account any modifications to the company's strategy and business plan.

e) Projected ongoing finance of operations.

f) Branches to be established.

g) A report on risks encountered by the finance company during the preceding five years and how such risks were addressed and managed, including non-compliance risks and cases of violation of laws, regulations, or instructions, and the company's future plan and programs for risk management and compliance.

h) Current number of employees and percentage of Saudis at department and administrative level.

i) Recruitment and training plan, including training and qualification programs for employees.

2. License renewal fees.

3. Any other documents or information requested by SAMA.

Article 19

A finance company shall not cease its activity for more than three consecutive months except with SAMA's prior written approval, and in accordance with the controls issued by SAMA in this regard.

Article 20

A finance company may apply for an amendment of the license by addition or deletion of certain finance activities or amendment of any condition or restriction therein. Said application shall be based on reasonable justification for amendment, supported by documents, information or studies required by SAMA. If the amendment results in an addition of a new activity or an amendment to a licensed activity, it shall satisfy the specified requirements for such activity, in accordance with the Law, Regulation, and relevant rules.

Article 21

1. SAMA may revoke the license in the following cases:

a) Upon the request of the finance company, taking into account the rights of creditors and borrowers and the integrity of the financial system.

b) If the finance company has provided SAMA with false information or failed to disclose material information that should have been disclosed for licensing purposes.

2. Revocation of the license shall entail liquidation of the finance company.

Article 22

1. The license shall terminate in the following cases:

a) Expiration of the license term without renewal.

b) Appointment of a liquidator for the finance company.

c) Expiration of the finance company's term, if any.

d) Issuance of a judgment declaring the bankruptcy of the finance company.

2. The termination of the license shall entail that the finance company shall cease engaging in any finance activities.

3. The finance company shall comply with any instructions issued by SAMA upon the occurrence of any of the cases of license termination referred to in paragraph 1 of this Article.

Article 23

The finance company shall fully cease its finance activities if the license is suspended in accordance with the provisions of Article 29 of the Law, and shall not engage in any such activities except upon obtaining a no-objection letter from SAMA.

Article 24

1. SAMA may charge the following:

a) Two hundred thousand riyals (SAR 200,000) for issuing the license.

b) One hundred thousand riyals (SAR 100,000) for renewing the license.

c) Fifty thousand riyals (SAR 50,000) for amending the license.

2. Notwithstanding the provisions of paragraph 1 of this Article, SAMA may charge the following fees:

a) Twenty thousand riyals (SAR 20,000) for issuing, amending, or renewing a license to engage in consumer microfinance activity.

b) Ten thousand riyals (SAR 10,000) for issuing, amending, or renewing a license to engage in consumer microfinance activity through financial technology.

c) Ten thousand riyals (SAR 10,000) for issuing, amending, or renewing a license to engage in microfinance activity.

d) Five thousand riyals (SAR 5,000) for issuing a license to engage in debt-based crowdfunding activity and BNPL activity, and two thousand riyals (SAR 2,000) for renewal or amendment thereof.

Article 25

1. The finance company shall obtain a no-objection letter from SAMA prior to launching any new finance products, or amending any existing ones, intended for individuals or microfinance borrowers.

2. SAMA may, where considerations relating to the integrity of the finance sector so require, suspend any finance products offered by the finance company.

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Chapter 3: Capital Adequacy and Liquidity

Article 26

The finance company shall comply with capital adequacy and liquidity levels required in accordance with rules, requirements, and standards stipulated by SAMA.

Article 27

The finance company shall comply with the following:

1. Provide SAMA with prudential returns at the specified times according to the forms, controls, and instructions determined by SAMA.
2. Provide SAMA with any reports, data, or information it requires according to forms and instructions, and at the times specified by SAMA.

Article 28

The finance company shall obtain a no-objection letter from SAMA prior to offering its shares in the capital market.

Article 29

The finance company shall obtain a no-objection letter from SAMA prior to approving, recommending, or announcing distribution of profits or any other distributions, upon ascertaining the following conditions:

1. The distribution does not cause capital adequacy or liquidity to fall below required levels.
2. Total distributions in the fiscal year shall not exceed the realized profits in the preceding fiscal year.
3. Any other conditions stipulated by SAMA.

Chapter 4: Ownership and Assets

Article 30

Without prejudice to Article 11 of the Law, a finance company shall not engage in any activity other than finance, nor shall it own an establishment that engages in any activity other than finance, whether directly or indirectly, except after satisfying the conditions or controls set by SAMA.

Article 31

1. No acquisition of assets other than those necessary for its business shall be carried out by the finance company unless it obtains a no-objection letter from SAMA.

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2. The finance company shall not partially or totally liquidate its business activities or the company itself without obtaining a no-objection letter from SAMA.

Chapter 5: Corporate Governance

Article 32

The finance company shall comply with corporate governance rules stipulated by SAMA.

Article 33

The finance company shall develop its own internal rules for corporate governance and a special regulation thereof, have them approved by the board of directors, managers, members of the board of managers, or the like, as the case may be, and provide SAMA with a copy thereof. Such regulation shall include at least the following:

1. A description of the organizational structure, including all departments and positions as well as their duties and responsibilities.
2. Controls for independence and segregation of duties.
3. Roles and responsibilities of the board of directors, managers, members of the board of managers, or the like, and the committees, formation thereof, and responsibilities of each, as the case may be.
4. Remuneration and compensation policies.
5. Conflict of interest controls.
6. Integrity and transparency controls.
7. Controls ensuring compliance with relevant laws and regulations.
8. Methods for maintaining confidentiality of information.
9. Controls ensuring fairness of transactions.
10. Controls for protection of company assets.

Article 34

The board of directors of a joint-stock finance company shall form specialized committees to expand the scope of its work in areas requiring specific expertise. The board of directors shall determine their powers and monitor their performance. Said committees shall include at least an audit committee and a risk and credit management committee.

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Chapter 6: Internal Regulations

Article 35

The finance company shall establish appropriate written regulatory policies that include work guides and procedures, to be periodically updated and communicated to employees in a timely manner for compliance. Said policies shall at least include rules for the following:

1. Organizational and operational structure, exercising of powers, and determining responsibilities.
2. Extension of credit and operations.
3. Financial management and accounting.
4. Marketing and sales.
5. Information technology.
6. Customer service and debt collection.
7. Risk management assessment, handling, monitoring, and disclosure thereof.
8. Internal control framework.
9. Internal audit.
10. Compliance with relevant laws, regulations, and instructions.
11. Outsourcing.
12. Salaries, remuneration, and incentives, including salaries and incentives of senior management and employees as well as remuneration of members of the board of directors, the manager, members of the board of managers, or the like, as the case may be, and committee members.

Article 36

In a finance company, an executive function, such as finance or hedging, and a control function, such as internal audit, risk management, or accounting, may not be combined. Segregation of duties must be maintained to ensure the application of the generally accepted policies, procedures, and technical standards for protecting the company's assets and funds and preventing fraud and embezzlement.

Article 37

1. The finance company's technical equipment and related systems must be sufficient for the company's operational needs, nature of its activities, and risk profile, in accordance with generally accepted technical standards and in line with the instructions issued by SAMA in this regard.
2. Information technology systems and related procedures shall be developed to ensure data availability, integrability, security, and confidentiality. Such systems shall be periodically assessed by the finance company in accordance with established standards and shall be tested prior to launching and after introducing any modification thereto.
3. The finance company shall set up a business continuity plan for emergency cases that ensures alternative solutions to re-operate in a reasonable time.

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Article 38

A finance company shall maintain all business documents, records, and files in an orderly, transparent, and safe manner, in accordance with the relevant laws and instructions, and shall ensure the completion and periodic updating of files. Said documents, records, and files shall be retained for at least a period of 10 years from the date of termination of the relationship with the client, including all client-related transactions.

Article 39

The finance company shall have adequate staff who are experienced and qualified to meet its operational needs, business activities, and risks. Staff remuneration and incentives must be fair, and in line with the finance company's strategy, and must not lead to any conflict of interest.

Article 40

1. At least 50 percent of the finance company employees must be Saudi nationals at the commencement of the finance company. Such percentage shall apply to all administrative levels.
2. The percentage of Saudi employees shall be increased annually by at least five percent until it reaches 75 percent. SAMA may, afterwards, set a minimum percentage for the required annual increase in the percentage of Saudi employees.
3. Recruitment of non-Saudis in a finance company shall be limited to positions requiring expertise not available in the Saudi labor market. In all cases and after establishing the non-availability of Saudis to fill such positions, the finance company shall obtain a no-objection letter from SAMA prior to recruiting any non-Saudi employee in control departments, and provide a plan for filling such position with a qualified Saudi national, including the period required therefor.

Chapter 7: Outsourcing

Article 41

1. The board of directors, managers, members of the board of managers, or the like, as the case may be, shall issue a written policy regulating outsourcing and update it annually. Such policy shall include particularly the following:

a) Roles and responsibilities of the board of directors, managers, members of the board of managers, or the like, as the case may be, and senior management.
b) Qualification criteria for service providers.
c) Risk identification criteria and risk hedging measures.
d) Rules for continuous monitoring and controlling of outsourced operations.

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e) Criteria for the identification of conflict of interest as well as rules and procedures ensuring protection of the interests of the finance company and giving priority to the company's interests over the interests of other parties.

f) Measurements for information protection, confidentiality, and privacy.

2. SAMA, the finance company, and the external auditor may have access to any information or documents related to the performance of the service provider, or review the same at the premises of the service provider.

3. The finance company shall verify the service provider's compliance with relevant laws, regulations, and instructions. The finance company shall remain accountable in case of the service provider's non-compliance with applicable laws, regulations, and instructions in any operations or assignments.

4. The finance company shall comply with the rules on outsourcing issued by SAMA.

Chapter 8: Risk Management

Article 42

The finance company shall undertake the following:

1. Set a clear written business strategy and a written risk management policy to be approved and updated annually by the board of directors, managers, members of the board of managers, or the like, as the case may be. The risk management policy shall specify, categorize, and analyze all types of relevant risks and the manner of dealing therewith, taking into account all business activities, including outsourced operations and tasks. The policy shall include analysis of the following risks at minimum:

a) Credit risks.

b) Market risks.

c) Term cost risks.

d) Asset-liability mismatch risks.

e) Exchange rate risks.

f) Liquidity risks.

g) Operational risks.

h) Country risks associated with other countries in which the finance company operates.

i) Legal risks.

j) Reputation risks.

k) Technical risks.

2. Set appropriate procedures for the identification, assessment, management, and monitoring of risks, and prepare reports thereon, within a comprehensive risk management plan, which includes the following:

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a) Early and comprehensive identification of risks.
b) Assessment of correlations between risks.
c) Immediate coordination with the board of directors, managers, members of the board of managers, or the like, as the case may be, the risk and credit management committee in a joint-stock finance company, senior management, relevant officers, and, when necessary, the internal audit department.

3. Create a risk management department reporting directly to the risk and credit management committee in a joint-stock finance company. Such committee shall submit to the board of directors its recommendations regarding risk management reports.

Article 43

The risk management department shall prepare a quarterly risk report to be discussed by the risk and credit management committee and the board of directors, or managers, or members of the board of managers, or the like, as the case may be, upon review by senior management. The report shall include the following at a minimum:

1. A comprehensive review of the risk development and performance of financial positions exposed to market price risks, as well as instances where allowed limits are exceeded.
2. Changes to assumptions or parameters, which form the basis of risk assessment procedures.
3. The performance of the finance portfolio according to activity, type and size of risk and type of collateral.
4. Extent of limits allowed, external credit lines, large exposures as defined in Article 59 of this Regulation and other significant exposures, such as nonperforming loans, with comments thereon.
5. Analysis of the instances where the finance company exceeded the allowed limits, reasons thereof, volume and development of new businesses, and risk provisions.
6. Any major finance decisions inconsistent with the strategies or policies of the finance company.

Article 44

The finance company shall submit to SAMA the report referred to in Article 43 of this Regulation, following its discussion and approval by the risk and credit management committee and the board of directors in a joint-stock finance company, or its managers, members of its board of managers, or the like, as the case may be, along with the decisions taken in respect thereof.

Chapter 9: Compliance

Article 45

1. The finance company shall comply with applicable laws, regulations, and instructions and shall take necessary measures and controls to prevent violations.

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2. The finance company shall comply with the Compliance Principles for Finance Companies and Real Estate Refinance Companies issued by SAMA.

Article 46

The finance company shall undertake the following:

1. Create an independent department or position for compliance and appoint a compliance officer reporting directly to the audit committee in a joint-stock finance company, or to the managers, or members of the board of managers, or the like in a non-joint stock finance company. In joint-stock companies, the audit committee shall submit to the board of directors its recommendations regarding compliance reports.
2. Prepare a written compliance policy, to be approved by the board of directors, managers, members of the board of managers, or the like, as the case may be, which sets out powers, obligations, and responsibilities of the compliance department, as well as compliance programs and related procedures. The audit committee in a joint-stock finance company or the managers, members of the board of managers, or the like in a non-joint stock finance company shall ensure the implementation of compliance policy, evaluate its effectiveness, update it, and propose necessary amendments on an annual basis.
3. Take necessary measures to ensure that the compliance policy referred to in paragraph 2 of this Article is adhered to.

Article 47

1. Upon the recommendation of the audit committee in a joint-stock finance company, a compliance officer shall be appointed by the board of directors, managers, members of the board of managers, or the like, as the case may be, upon obtaining a no-objection letter from SAMA.
2. The compliance officer shall be independent in carrying out his assigned duties, and shall not assume any other responsibilities.

Article 48

The compliance officer shall, at a minimum, submit a quarterly report on compliance to the audit committee in a joint-stock finance company for review, discussion, and documentation of the procedures taken in respect thereof and the decisions resulting therefrom, and thereafter submit it to the board of directors, managers, members of the board of managers, or the like, as the case may be, for review and approval. The compliance report shall identify the key risks relating to non-compliance faced by the finance company, analyze existing processes and procedures and assess their effectiveness, and suggest any amendments or changes.

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Article 49

The compliance department must have staff and resources that are commensurate with the business model and size of the finance company. Compliance employees shall report solely to the compliance officer.

Article 50

The compliance department shall ensure the compliance of the finance company with applicable laws, regulations, and instructions, and carry out necessary tasks, including the following:

1. Identify and manage all compliance risks and monitor developments.
2. Analyze new procedures, policies, and operations, and recommend procedures to address relevant compliance risks.
3. Follow a risk-based compliance program and include its findings in the report referred to in Article 48 of this Regulation
4. Review compliance-related complaints and prepare written instructions for employees, when necessary.
5. Set internal policies and procedures to combat financial crimes, such as money laundering and finance of terrorism.
6. Monitor compliance with money laundering and finance of terrorism laws, regulations, and rules.
7. Promote awareness of compliance issues and train employees on compliance-related matters through periodic programs.
8. Promptly report any irregularities or violations to SAMA and the audit committee in a joint-stock finance company, or to the managers, or members of the board of managers, or the like, as the case may be.

Article 51

1. The finance company shall comply with the legal requirements set forth in the Anti-Money Laundering Law, the Law of Combating Crimes of Terrorism and its Financing, their implementing regulations, and related rules and guidelines, in a manner that is commensurate with the nature of the company's activity and the level of risks to which it may be exposed, and in compliance with the requirements and instructions issued by SAMA on financial crimes and financial fraud.
2. The finance company shall comply with the requirements stipulated by SAMA concerning cyber risks, as well as the relevant laws, regulations, and instructions.

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Chapter 10: Internal Audit

Article 52

1. The finance company shall create an internal audit department reporting directly to the audit committee in a joint-stock finance company or to the managers, members of the board of managers, or the like, as the case may be, in a non-joint stock finance company. Such department shall be independent in performing its duties, and its employees shall not be assigned any other responsibilities.
2. The internal audit department shall assess the internal control system and verify the compliance of the company and employees with the applicable laws, regulations, and instructions as well as the finance company's policies and procedures, whether outsourced or not. The internal audit department shall have full and unlimited access to information and documents.
3. The finance company shall comply with the internal audit principles issued by SAMA.

Article 53

The internal audit department shall operate according to a comprehensive audit plan, approved by the audit committee in a joint-stock finance company or by the managers, members of the board of managers, or the like, as the case may be, in a non-joint stock finance company, and it shall be updated annually. Major activities and operations, including those related to risk management and compliance, must be audited annually at a minimum.

Article 54

1. The internal audit department shall, on a quarterly basis at a minimum, prepare a written report on its activities and submit it to the audit committee in a joint-stock finance company or to the managers, members of the board of managers, or the like, as the case may be, in a non-joint stock finance company. Such report shall include the scope of the audit as well as the findings and recommendations. It shall also include the measures taken by each department with respect to the findings and recommendations of the preceding audit as well as any related remarks, especially those unresolved on time and reasons therefor.
2. The internal audit department shall prepare a written general report on audits carried out during the fiscal year, compared with the approved plan and stating the reasons for any deficiency or deviation from the plan, if any, and submit it to the audit committee in a joint-stock finance company or to the managers, members of the board of managers, or the like, as the case may be, in a non-joint stock finance company. Said report shall be submitted within the quarter following the end of the relevant fiscal year.

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Article 55

The finance company shall maintain work documents and audit reports clearly stating completed work as well as findings and recommendations and actions taken.

Chapter 11: Finance Policies and Procedures

Section One: Finance Policies

Article 56

1. The finance company shall draw written finance policies setting out rules and procedures for finance, including but not limited to; classification of creditworthiness; procedures for dealing with declining credit rating and non-performing loans; acceptable collaterals and basis for assessing their values; monitoring, administration, and enforcement of collaterals as well as risk provisions.
2. Without prejudice to paragraph 1 of this Article, a microfinance company shall establish written policies, rules, and procedures for finance that are commensurate with the nature of its activity, and shall ensure their implementation. Said policies, rules, and procedures shall include, at a minimum, the following:

a) Rules, conditions, and procedures for granting finance.

b) Criteria and procedures for assessing the economic feasibility of the productive activity or asset to be financed, and the borrower's ability to repay.

c) Verification procedures to ensure the use of the finance amount for the purposes specified in the contract.

d) Procedures for monitoring the performance of finance and providing advice and guidance to the borrower, as the case may be.

e) Procedures and controls for the collection of due installments and procedures for handling cases of default.

f) Methods for calculating the cost of finance.

3. All finance policies and amendments thereto shall be approved by the board of directors, managers, members of the board of managers, or the like, as the case may be, and the finance company shall provide SAMA with a copy thereof.
4. The finance company shall comply with any instructions issued by SAMA concerning collaterals for securing payments provided by the borrowers, including the manner in which those collaterals are dealt with.

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Section Two: Exposure Limits

Article 57

Exposure includes the value of assets exposed to any credit risk, including but not limited to, finance contracts, securities, and advanced payments to other entities and clients as well as undertakings and obligations to extend finance or make payments or deliver assets to third parties with the right of recourse against a client or a third party, equity, shares, and leased assets.

Article 58

1. The aggregate amount of finance provided by a finance company shall not exceed the following:

a) Four times the paid-up capital and reserves of a company engaging in consumer microfinance activity to the exclusion of any other finance activities, except upon obtaining a no-objection letter from SAMA.

b) Eight times the paid-up capital and reserves of a company engaging in other finance activities, except upon obtaining a no-objection letter from SAMA.

c) Twenty times the paid-up capital and reserves of a company engaging in BNPL activity to the exclusion of any other finance activities, except upon obtaining a no-objection letter from SAMA.

d) Forty times the paid-up capital and reserves of a company engaging in debt-based crowdfunding activity to the exclusion of any other finance activities, except upon obtaining a no-objection letter from SAMA.

2. The ratio of the aggregate amount of finance to capital and reserves shall be calculated in accordance with the instructions approved by SAMA.
3. SAMA may increase the maximum limit of the aggregate amount of finance provided by a finance company to the limit it deems appropriate, or set limits on the outstanding finance amounts in case of combining more than one finance activity, after taking into account the financial position of the finance company, its performance, and market conditions.

Article 59

1. The aggregate amounts of large exposures must not exceed the paid-up capital and reserves of the finance company, except upon obtaining a no-objection letter from SAMA.
2. A finance company's exposure to a single borrower must be less than 10 percent of its paid-up capital and reserves. An exposure to a group of borrowers where one has direct or indirect control over other members of the group shall be less than 25 percent of its paid-up capital and reserves, except upon obtaining a no-objection letter from SAMA.
3. Notwithstanding the provisions of this Article, the Rules for Engaging in Debt-Based Crowdfunding shall regulate matters relating to the limits of exposure that the company is allowed to incur.

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Article 60

1. For purposes of this Regulation, the following shall be deemed a related party:

a) Any member of the board of directors or its committees, managers, members of the board of managers, or the like, as the case may be, of the finance company or any of its subsidiaries.

b) Any member of senior management of the finance company or any of its subsidiaries.

c) Any person who, directly or indirectly, holds or controls five percent or more of the capital or voting rights of a finance company, and any entity in which such person, directly or indirectly, holds or controls five percent or more of the entity's capital or voting rights.

d) Any person who, directly or indirectly, holds or controls five percent or more of any type of securities that entitle their holders to receive a share of dividends or the finance company's income.

e) Any entity in which the finance company, directly or indirectly, holds or controls five percent or more of the shares, interests, or voting rights.

f) Any ascendant or descendant up to the second degree, or spouse of any person listed in paragraphs (a, b, c and d) of this Article.

g) Any company or establishment in which any of the persons listed in paragraphs (a, b, c and d) of this Article holds five percent or more.

h) Any board member, manager, member of the board of managers, or the like, as the case may be, and any senior management member of any of the persons listed in paragraph (c) of this Article.

i) Companies in which any board member, manager, member of the board of managers, or the like, as the case may be, or senior management member of a finance company, or any of their relatives, has a financial interest therein or has influence over its decisions, even if such influence is by merely providing advice or guidance.

An exception to the provision of paragraph (i) applies where advice or guidance is provided by a licensed person acting in a professional capacity.

2. Without prejudice to Article 12 of the Law, the finance company may not incur an exposure to a related party except on a commercial basis and after obtaining sufficient collateral where the amount of finance does not exceed 60 percent of the value of the collateral at a maximum. If the aggregate amount of finance exceeds five hundred thousand riyals (500,000), the decision to grant finance shall be based on the unanimous approval of the board of directors, managers, members of the board of managers, or the like, as the case may be.

3. A finance company shall not incur an exposure to a related party of 10 percent or more of its paid-up capital and reserves, except upon obtaining a no-objection letter from SAMA. In all cases, the aggregate exposures to related parties shall not exceed 50 percent of the paid-up capital and reserves of the finance company.

4. A finance company shall not have an exposure to a related party that holds or controls, directly or indirectly, 25 percent of the finance company's shares, interests, or voting rights, nor one in which

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the finance company holds or controls, directly or indirectly, 25 percent of the shares, interests, or voting rights in the related party.

5. A finance company shall not incur an exposure to any of its employees who is not a related party in excess of four months' salary of such employee, except through financing programs offered by the company to its employees and approved by the board of directors, managers, members of the board of managers, or the like, as the case may be, after obtaining a no-objection letter from SAMA.
6. Without prejudice to public and private rights prescribed by laws, any board member, manager, member of the board of managers, or the like, as the case may be, or any external auditor who receives finance in violation of any of the provisions of Article 12(1)(b, c or d) of the Law, shall be deemed dismissed in accordance with the following controls:

a) The dismissal shall be effective from the date on which the violation is established.

b) The finance contract shall be deemed void.

7. SAMA may take statements from the dismissed member or the external auditor, if it deems necessary.
8. Without prejudice to paragraph 6 of this Article and to the company's right to dismiss the violator, the company shall promptly inform SAMA upon discovery of the violation and advise it of the measures it has taken to implement the provisions of the Law and Regulation.
9. Notwithstanding the provisions of this Article and without prejudice to the provisions of the Law, the Rules for Engaging in Debt-Based Crowdfunding shall regulate matters relating to the financing of related parties in debt-based crowdfunding activity.

Section Three: Finance Procedures

Article 61

1. Upon obtaining the consumer's consent, the finance company shall review the consumer's credit record to verify the consumer's solvency, ability to repay, and credit behavior, and document such verification in the finance file.
2. Upon obtaining the borrower's consent, the finance company shall record the borrower's credit information with one or more companies licensed to collect credit information, in accordance with the provisions of relevant laws, regulations, and instructions, and shall update such information in accordance with the provisions of relevant laws and instructions.
3. The finance company shall reject the finance application in the absence of the consumer's or borrower's consent, stipulated in paragraphs (1) and (2) of this Article.
4. The finance company shall comply with the Responsible Lending Principles for Individual Customers issued by SAMA when dealing with individual customers.

Article 62

1. A finance company shall determine the management levels for extending finance according to the type and volume of finance, including finance types requiring the approval of more than one person. The decision to approve or reject finance shall be according to the powers granted to each management level.
2. The finance company must obtain a no-objection letter from SAMA prior to any of the following:

a) Granting finance to a foreign borrower not residing in the Kingdom.

b) Granting finance in a currency other than the Saudi riyal.

Article 63

1. The finance company must follow a sound method and written, transparent, and clear standards and procedures to assess creditworthiness of the finance applicants and their ability to repay, according to best practices in this field. The board of directors, managers, members of the board of managers, or the like, as the case may be, shall approve these standards and procedures, review them at least once every two years, and update them if necessary. The finance company shall apply these procedures before granting finance and document them in the finance file.
2. Exposure risks must be assessed and classified by the finance company prior to making the finance decision. The risk classification shall be reviewed at least once a year.
3. The finance company must specify procedures for early detection of risks to identify the finance that manifests clear signs of increased risk and develop quantitative and qualitative indicators for early identification of risks.

Article 64

1. Finance shall be secured by collateral in accordance with the risk management policy and procedures approved by the board of directors, managers, members of the board of managers, or the like, as the case may be.
2. Collaterals must be capable of being valued and enforced in order to be acceptable. Personal guarantees must be evaluated based on the net assets or net income of the guarantor, or both.
3. The value and legal validity of collaterals must be assessed prior to extending finance.
4. If the value of a collateral is substantially affected by the financial position of a third party or market fluctuations and conditions, such collateral shall be assessed periodically, and procedures stipulated in the contract shall be taken to enhance said collateral when its value decreases. Said risks shall be reviewed as appropriate.
5. Decisions relating to collateral and reserve risks must be made by a control officer.

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Article 65

Notwithstanding the provisions of Article 64 of this Regulation, the finance company may extend finance without a collateral, if the following applies:

1. The aggregate amount of finance extended to the borrower without collateral does not exceed one hundred thousand riyals (SAR 100,000), based on the borrower's credit history. SAMA may increase such amount if it deems appropriate.
2. The borrower has no history of unsettled defaulted debt; unresolved dispute; pending credit lawsuit; insolvency, bankruptcy or liquidation suit in the past ten years; or dishonoured checks issued in the past five years, based on the borrower's credit history.
3. The borrower is not a related party.

Article 66

The finance company must set provisions for contingent losses and risks, in accordance with international accounting standards. SAMA may require the finance company to add one or more provisions for such losses and risks.

Article 67

1. The finance company must identify cases where exposures require close monitoring. Such exposures shall be constantly reviewed to determine whether further actions are required. It shall also set clear rules to identify cases requiring referral of finance to a team specializing in restructuring, rescheduling, or winding up.
2. Subject to international accounting standards, the finance company must set criteria for devaluation of assets and criteria for provisioning, including country-risk provisioning, and ensure its regular application.

Article 68

Insurance against finance risks must be in accordance with the Cooperative Insurance Companies Control Law and its Implementing Regulation as well as instructions issued by SAMA.

Chapter 12: Accounts and Deposits

Article 69

1. The finance company shall not accept time deposits or non-banking facilities or the like, or open any type of accounts for its clients unless a no-objection letter from SAMA is obtained.
2. The finance company shall deposit with SAMA a percentage of the value of time deposits, as determined by SAMA.

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Chapter 13: Investment and Trading Securities

Article 70

1. The finance company may invest the cash available in its treasury by placing deposits with commercial banks.
2. Without prejudice to Article 11(3) of the Law, the finance company may not own securities such as stocks, bonds, sukuk, and financial derivatives, except in the following cases:

a) As part of a finance transaction the purpose of which is to grant finance to the borrower.
b) Investing in debt instruments approved by SAMA.
c) Hedging against exposure to existing term cost risks.
d) Hedging against exposure to existing currency risks.
e) Settlement of debts due from borrowers.
f) Any other cases determined by SAMA.

Chapter 14: Refinance

Article 71

1. Subject to the provisions of Article 14 of the Law, the finance company may issue securities upon obtaining a no-objection letter from SAMA.
2. The finance company may not dispose of finance assets or rights arising therefrom in any form, except in accordance with the rules issued by SAMA in this regard.
3. The finance company shall comply with rules and instructions issued by SAMA in the application of the provisions of this Article.

Article 72

A finance company shall not receive foreign finance or finance in a currency other than the Saudi riyal, except upon obtaining a no-objection letter from SAMA.

Chapter 15: Structural Changes

Article 73

A finance company shall obtain a no-objection letter from SAMA prior to the nomination, appointment, or assignment to the positions and duties set forth in the Requirements for Appointments to Senior Positions in Financial Institutions Supervised by SAMA.

Chapter 16: Accounts

Article 74

A finance company shall apply international accounting standards in the preparation of its accounts and financial statements.

Article 75

1. A finance company shall provide SAMA with its audited annual financial statements, external auditor's report, and the report of the board of directors, managers, members of the board of managers, or the like, as the case may be, at least five business days prior to publication.
2. The finance company shall provide SAMA with its quarterly financial statements and auditor's report at least five business days prior to publication.

Article 76

Without prejudice to requirements of other laws, a finance company shall create a website on the internet to publish its annual financial statements and reports, including the following:

1. Statement of financial position.
2. Income statement.
3. Cash flow statement.
4. Report of the board of directors, managers, members of the board of managers, or the like, as the case may be.

Chapter 17: Account Audit and Inspection

Article 77

1. A finance company must obtain a no-objection letter from SAMA prior to appointing one or more licensed external auditors. SAMA may require the finance company to appoint another auditor if the size and nature of its business so require.
2. SAMA may require the finance company to replace its external auditor or may appoint another external auditor at the expense of the company if:

a) the size and nature of its business so require;
b) the external auditor commits a violation of a professional nature;
c) there is a reason to believe that the external auditor has a conflict of interest;
d) the integrity of the finance sector or governance considerations and the protection of stakeholders' interests so require.

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3. The external auditor must promptly report to SAMA if, in the course of an audit, he discovers facts that may:

a) justify the reservation in the audit report or refrain from expressing opinion;

b) jeopardize the existence of the finance company.

c) seriously impair the finance company's development;

d) indicate that the managers have breached any laws, regulations, or instructions applicable in the Kingdom or the bylaws of the finance company; or

e) terminate the contract before the end of its term, providing reasons for doing so.

4. SAMA may require the external auditor to explain his report or to reveal other facts that may have come to his attention during the audit which indicate any violation of laws, regulations, instructions or the bylaws of the finance company.

Article 78

1. The finance company, its board members, managers, members of the board of managers, or the like, as the case may be, and employees shall, upon request, provide SAMA with all information and documents concerning the company, its activities, shareholders, partners, and employees.
2. SAMA may conduct on-site inspection of records and accounts of the finance company by its employees or auditors appointed by SAMA.
3. The finance company and its employees shall cooperate with SAMA employees and facilitate their tasks, particularly the following:

a) Grant the inspector access to the company's records, accounts, and documents that he deems necessary to carry out his task.

b) Provide the inspector with information and clarifications upon request.

c) Disclose to the inspector, at the commencement of his task, any violations or irregularities in the company's activities.

4. Adhere to the recommendations and instructions directed by SAMA to the finance company to address the identified observations.
5. The finance company and its employees shall not conceal or attempt to conceal any information or irregularities, refuse to provide clarifications requested by the appointed inspector or fail to provide requested information and documents in due time.
6. SAMA employees entrusted with supervision, control, and inspection shall not be subject to any liability in the course of performing their duties.

Article 79

1. A violation of the provisions of the Law and this Regulation or non-compliance with any of the rules or instructions issued by SAMA shall be deemed a professional misconduct in accordance with Article 29 of the Law.

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2. The following shall be deemed a violation undermining the interest of the finance company's shareholders, partners, or creditors to risk, as referred to in Article 29 of the Law:

a) Adverse material change in the finance company's activities or its financial, legal, or administrative status that may threaten its existence or ability to pay its due debts.

b) The finance company's loss of half of its paid-up capital.

c) The finance company's loss of more than 10 percent of its paid-up capital per year during a minimum of four consecutive fiscal years.

Article 80

The finance company shall promptly report to SAMA any losses that exceed 15 percent of its paid-up capital.

Article 81

The finance company shall incur the cost of any third party appointed by SAMA to carry out procedures taken under the provisions of this Chapter.

Chapter 18: Consumer Protection in Finance Services

Article 82

A finance contract must be drafted on paper or in an electronic format, in accordance with the standard form of contract, if any, between the finance company and the borrower, with a copy retained by each party, and shall include, at a minimum, the following:

1. Names of the parties of the finance contract, the borrower's national identification number, as the case may be, their official addresses, contact information including mobile number, and electronic mail address, if any.
2. Type of finance.
3. Term of the finance contract.
4. Finance amount.
5. Conditions for withdrawing the finance amount, if any.
6. In variable term cost finance contracts, a description of the formula that determines the rate shall be included in a way that enables the consumer to understand the term cost and distribution of the cost over the repayment period.
7. Term cost, conditions governing its application, any index or reference rate applicable to the initial term cost agreed upon, as well as duration, conditions, and procedures for changing the term cost.
8. Annual percentage rate (APR).
9. Total amount payable by the borrower, calculated at the time of concluding the finance contract; stating the assumptions used to calculate such amount.

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10. Amount of installments payable by the borrower, number and due dates of installments, and manner of distribution of the remaining amount if the term cost is fixed. In case of variable term cost, three examples of installment amount shall be set, taking into account the initial term cost as well as a higher and a lower term cost.
11. Fees, commissions, and costs of administrative services.
12. Due dates for payment of fees or amounts other than the finance amount and conditions for such payment.
13. Implications of late payments.
14. Attestation fees, if applicable.
15. Collateral and necessary insurance.
16. Bank name and account number for depositing finance installments.
17. Procedures for exercising the right of withdrawal, if any, as well as its conditions and the financial obligations resulting therefrom.
18. Prepayment procedures, procedures for compensating the finance company, if applicable, and method for determining such compensation.
19. Procedures to be followed in case of collateral devaluation, if available.
20. Procedures for exercising the right to terminate the finance contract.
21. The borrower's consent to include his information in the credit record.
22. Any data or information stipulated by SAMA.

Article 83

The finance contract preamble shall include a summary covering the basic information of the finance product and the main provisions of the finance contract in a language clear to the borrower, in accordance with the form stipulated by SAMA. The borrower's receipt of such summary shall be documented in the finance file.

Article 84

If permitted by the finance contract, the finance company shall inform the borrower in writing of any changes in the term cost at least 60 calendar days prior to the effectiveness of such changes. The borrower must be notified, through official addresses referred to in the finance contract, of the installment amounts to be paid upon the effectiveness of the new term cost as well as the particulars relating to the number and due dates of such installments, if covered by such changes.

Article 85

1. APR is the discount rate at which the present value of all installments and other payments that are due from the borrower, representing the total amount payable by the borrower, equals the present value of the payments of the finance amount available to the borrower, calculated on the date on

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which the finance amount or the first payment is available to the borrower, calculated using the following formula:

$$\sum_{d=1}^{m} C_d(1+X)^{-s_d} = \sum_{p=1}^{n} B_p(1+X)^{-t_p}$$

Where:

m is the number of the last payment of the finance amount to be received by the borrower.

d is the sequence number of the payment to be received by the borrower from the finance amount.

C_d is the payment value of (d) to be received by the borrower from the finance amount.

S_d is the period between the date on which the finance amount or the first payment is available to the borrower and the date of payment (d), calculated in years and fractions of a year, so that such period of first payment received by the borrower from the finance amount is zero (s1=0).

n is the sequence number of the last payment payable by the borrower.

p is the sequence number of the payment payable by the borrower.

B_p is the payment value (p) payable by the borrower.

t_p is the period between the date on which the amount of finance or the first payment is available to the borrower and the date of the payment (p) to be payable by the borrower, calculated in years and fractions of a year.

X is the APR.

2. For the purpose of calculating the APR, the periods between the date on which the finance amount or the first payment is available to the borrower and the date of each payment received or payable by the borrower shall be calculated on the basis of 12 equal months or 365 days a year.
3. For the purpose of calculating the APR, the total amount payable by the borrower must be specified, including fees, commissions, and costs that cannot be avoided by the borrower, excluding costs or fees payable by the borrower due to breach of any of his obligations stipulated in the finance contract.
4. The APR shall be calculated on the assumption that the finance amount is valid for the term agreed upon, and the parties' adherence to their obligations, in accordance with the conditions stipulated in the finance contract.
5. Without prejudice to Article 82(10) of this Regulation, if the finance contract includes a clause allowing a change in the term cost or fees included in the APR in an indeterminate form at the time of calculating the APR, the APR must be calculated on the assumption that the term cost and other fees remain fixed at the level of the initial term cost and valid until the end of the finance contract.

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6. The APR must be calculated and expressed in percentage points with a minimum of two basis points, rounding half basis point or more to the nearest full basis point.

Article 86

The finance company shall use the declining balance method in distributing the term cost on the maturity period, whereas such cost is distributed proportionally between installments on the basis of the balance value of the remaining finance amount at the commencement of the installment maturity period, and shall include the same in the finance contract.

Article 87

The finance company shall comply with any requirements issued by SAMA regarding the tariff for services and products.

Article 88

1. The borrower may prepay the remainder of the finance amount, at any time, and shall not be required to pay the term cost for the remaining period. In such cases, the finance company is entitled to compensation for the following:

a) Reinvestment cost not exceeding the term cost for the three months subsequent to payment, calculated on the basis of the declining balance.

b) Expenses stipulated in the contract, made by the finance company to a third party, if such expenses are irrecoverable, for the remaining term of the contract.

2. Notwithstanding the provisions of paragraph 1 of this Article, a real estate finance contract may stipulate a period of time in which prepayment is prohibited, provided it does not exceed two years from the date of concluding the real estate finance contract.

Article 89

If the finance company assigns its rights or the finance contract to a third party or issues securities against rights arising out of the finance contract, the borrower may invoke against the assignee any defense available to him against the finance company.

Article 90

The finance company shall comply with the controls issued by SAMA for advertising products and services provided by financial institutions, as well as other relevant laws and instructions.

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Article 91

The finance company shall establish a customer care department, designate the persons responsible therefor, and set clear procedures for receiving, documenting, reviewing, and responding to borrowers' complaints, as well as for their resolution and closure within the periods determined by SAMA. All complaints shall be recorded in dedicated records, provided that such records shall include all necessary information relating to the subject of the complaint and actions taken thereon.

Article 92

1. The finance company and its employees shall maintain the confidentiality of clients' data and transactions, and shall not disclose or pass such information to other parties, except in accordance with relevant laws and instructions.
2. The finance company employees shall not disclose any information about the company's clients and transactions to which they may be privy during or after their employment in the company. They shall not retain any such information after termination of employment.
3. The finance company shall take all necessary measures to ensure confidentiality of clients' information and transactions.

Article 93

BNPL companies are exempted from implementing the provisions of Articles (82-83-84-85-86-88) of this Regulation.

Article 94

Without prejudice to relevant statutory provisions and the competencies of the relevant authorities, compliance with Articles (82-83-85-86-88) of this Regulation is optional when dealing with small, medium, and large enterprises.

Chapter 19: Finance Support Activities

Article 95

SAMA may license an enterprise seeking to engage in finance support activities, in accordance with the legal structure and conditions stipulated in the Rules of Licensing Finance Support Activities issued by SAMA.

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Chapter 20: Debt Collection

Article 96

1. SAMA shall authorize a finance company seeking to assign debt collection operations to a third party by means of a no-objection letter issued prior to the commencement of the assignment arrangements.
2. Prior to applying for a no-objection letter from SAMA, the finance company shall ensure the availability of the following requirements and conditions:

a) Debt collection shall be carried out through a company established in the Kingdom.
b) The debt collection practitioner shall have the legal and practical knowledge relevant to debt collection.
c) The debt collection practitioner shall have adequate financial resources to practice debt collection.
d) The debt collection practitioner shall have the appropriate policies and procedures that reflect, at a minimum, what is set out in the debt collection controls and procedures issued by SAMA, as well as other SAMA instructions regarding customer protection and data preservation.
e) Any other requirements or instructions prescribed by SAMA.

3. The finance company shall not sell debts owed to it to debt collection practitioners.

Chapter 21: Preliminary Investigation Procedures

Article 97

1. Provisions of this Chapter shall apply to violations and cases of public rights arising from the application of the Law and this Regulation.
2. Absent a specific provision in this Regulation, the provisions of the Law of Criminal Procedure, the Public Prosecution Law, and the general rules applicable in the Kingdom shall apply.

Article 98

A SAMA officer entrusted with investigation shall satisfy the following conditions:

1. Be a Saudi national.
2. Be of good conduct.
3. Have not been convicted of a crime impinging on honor or integrity, unless rehabilitated.
4. Hold a university degree.

Article 99

1. Investigation officers shall receive reports, gather information, and record evidence necessary for investigation and filing charges.

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2. Investigation officers may seek assistance from officers entrusted with law enforcement authority, if necessary.
3. Investigation officers may seek the assistance of specialized individuals and companies when carrying out inspection, search, and seizure of items related to the violation. The task of such specialists shall be limited to identifying the places and items whose search is required by investigation procedures.
4. Rules, procedures, and controls governing the work of investigation officers shall be issued pursuant to a decision by the Governor.

Article 100

Investigation officers and their assistants, whether experts or specialists, shall not disclose confidential information to which they become privy in the course of their work, even after the end of their service.

Article 101

SAMA has the authority to impose provisional attachment on the funds of any person apprehended based on strong evidence of violating Article 4(1) or (2) of the Law, provided that the attachment does not exceed the maximum fine or percentage prescribed under Article 35(2) of the Law. Such attachment shall remain in force, until the competent court examines the violation and renders its decision in accordance with the applicable statutory procedures.

Article 102

SAMA shall refer crimes and violations beyond its jurisdiction to the competent authority.

Chapter 22: Concluding Provisions

Article 103

SAMA may exempt finance companies from certain provisions set forth in this Regulation, without prejudice to the provisions of the Law and in a manner commensurate with the state of the sector.

Article 104

A committee, or more, shall be formed pursuant to a decision by the Governor to be in charge of providing suggestions and recommendations necessary for developing the finance sector.

Article 105

The rules and instructions necessary for the implementation of oversight and supervisory requirements applicable to the finance sector shall be issued pursuant to a decision by the Governor or his designee.

Article 106

This Regulation shall enter into force on the date of publication in the Official Gazette.

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